

Revenue Management and Pricing

Alpha and tau in a spiral-up pricing control mechanism

Alpha is the maximum price growth multiplier, representing how much price movement demand can absorb.

Tau is the alert sensitivity threshold, describing the business tolerance for risk and operator intervention.

The materialization rate is the share of shopped or quoted transactions that convert into bookings. Drift in materialization rate is the difference between the materialization rate and the target materialization rate.

Mixed logit allows taste parameters to vary across the population using a distribution, which makes the choice probability function more flexible.

Forecast Value Added (FVA) is used to determine whether a forecasting step improves accuracy over a naïve forecast.

Composite criticality scoring combines multiple weak signals such as price delta, competitor deviation, inventory level, and time to departure.